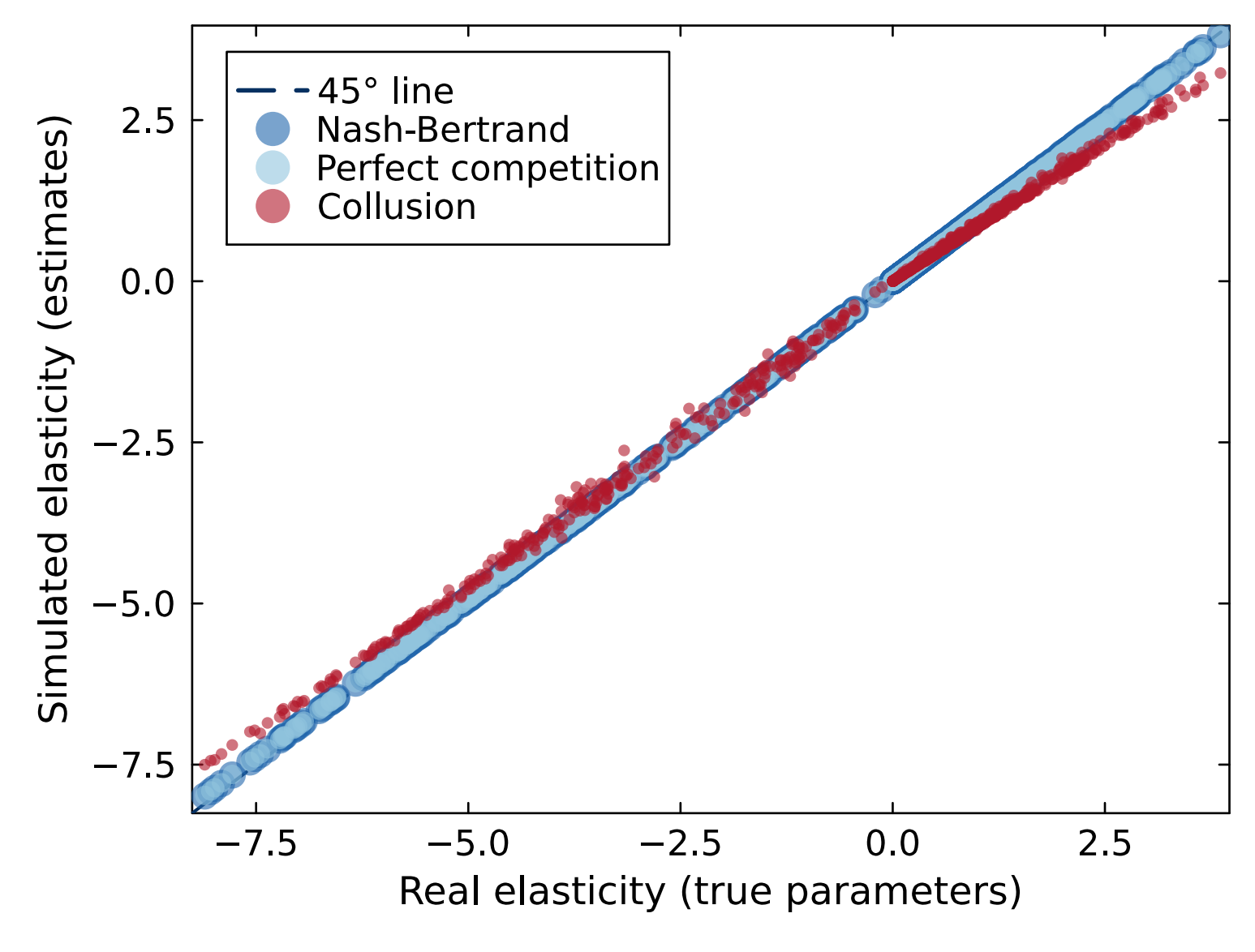

45° line
Nash-Bertrand
Perfect competition
Collusion
Simulated elasticity (estimates)
Real elasticity (true parameters)
2.5
0.0
−2.5
−5.0
−7.5
−7.5
−5.0
−2.5
0.0
2.5